

The Great Lie of the Strike Price

What is actually at stake when you sell an option?



Based on the systematic framework
by Sam Vishwas / OTS Ullu

The number we never question.



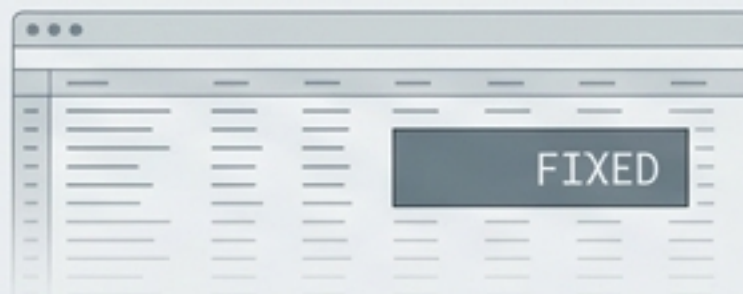
The Habit

When selling cash-secured puts or covered calls, the industry reflex is to measure risk by a single, static number: the strike price.



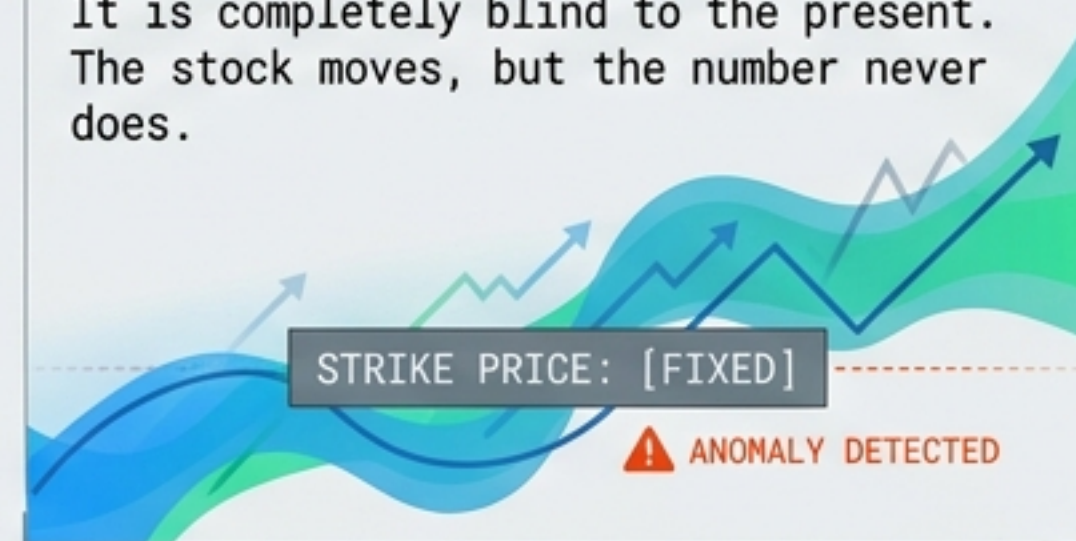
The Illusion

Whether it's trade 1 or trade 3,900, every screener, spreadsheet, and broker screen works the exact same way. It feels mathematically precise.



The Flaw

It is completely blind to the present. The stock moves, but the number never does.



One stock. One day. Ten positions.

ORBD @ \$147.47 | DTE: 29 (Oct 23)

5 PUT SELLERS

\$105

\$145

\$147

\$149

\$190

5 CALL SELLERS

\$105

\$145

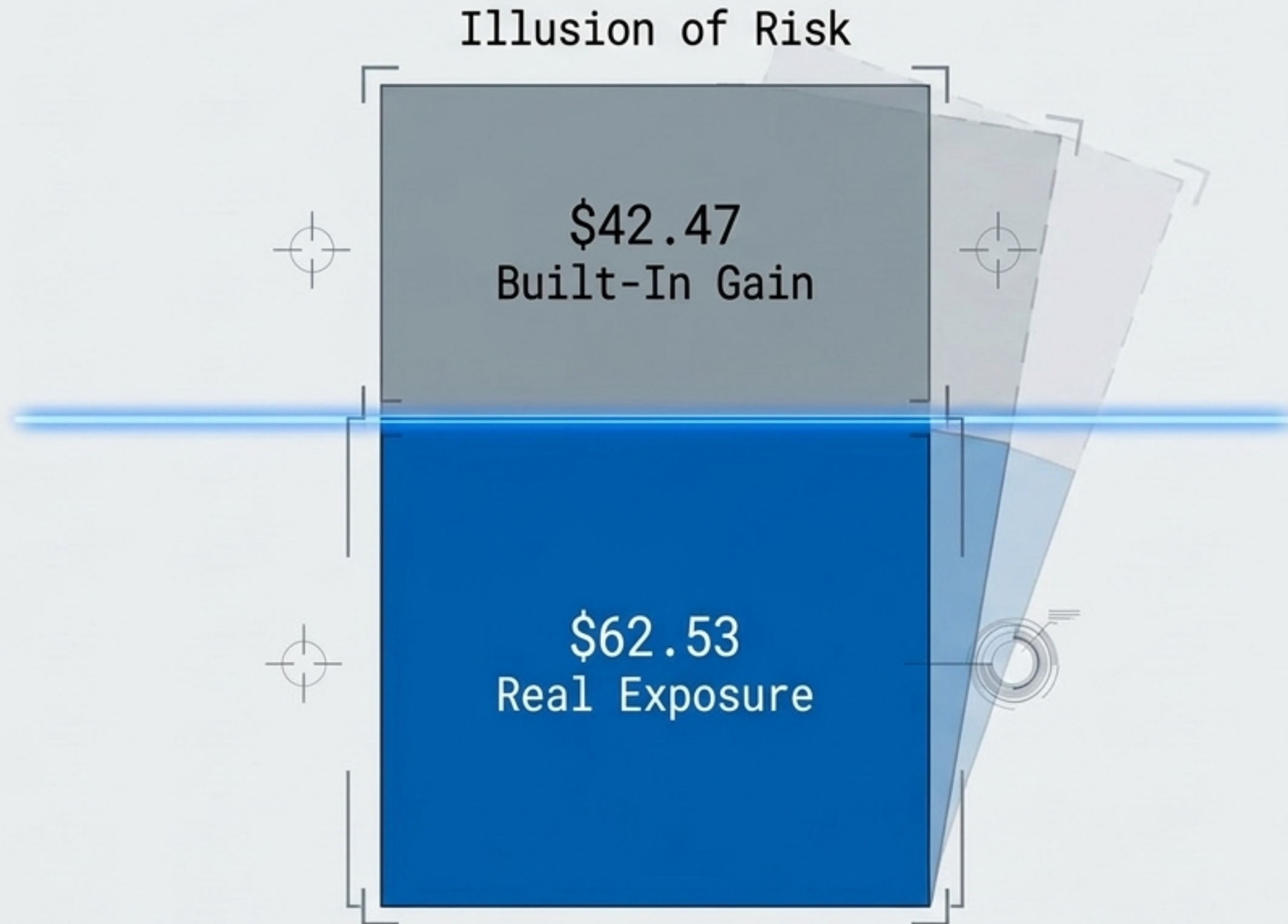
\$147

\$149

\$190

The strike-price method says all ten sellers have exactly their strike at stake.
But if you were assigned at the strike today, what would you actually put on the line?

The math breaks on winning puts.



- **The Scenario**
A \$105 put seller is assigned on ORBD when the stock is trading at \$147.47.
- **The Mechanic**
They are forced to buy at \$105.00, but can immediately sell the shares at \$147.47 in the open market.
- ⚠ **The Reality**
Their real exposure is \$62.53 per share, not \$105.00. The strike method overstates risk by 40%.

Capital at Stake is a snapshot.

The exact capital you would have tied up if the contract settled at the strike against today's stock price.

1. The Strike

Fixed: The promise in the contract.

2. The Stock Price

Fluid: The reality of the market today.



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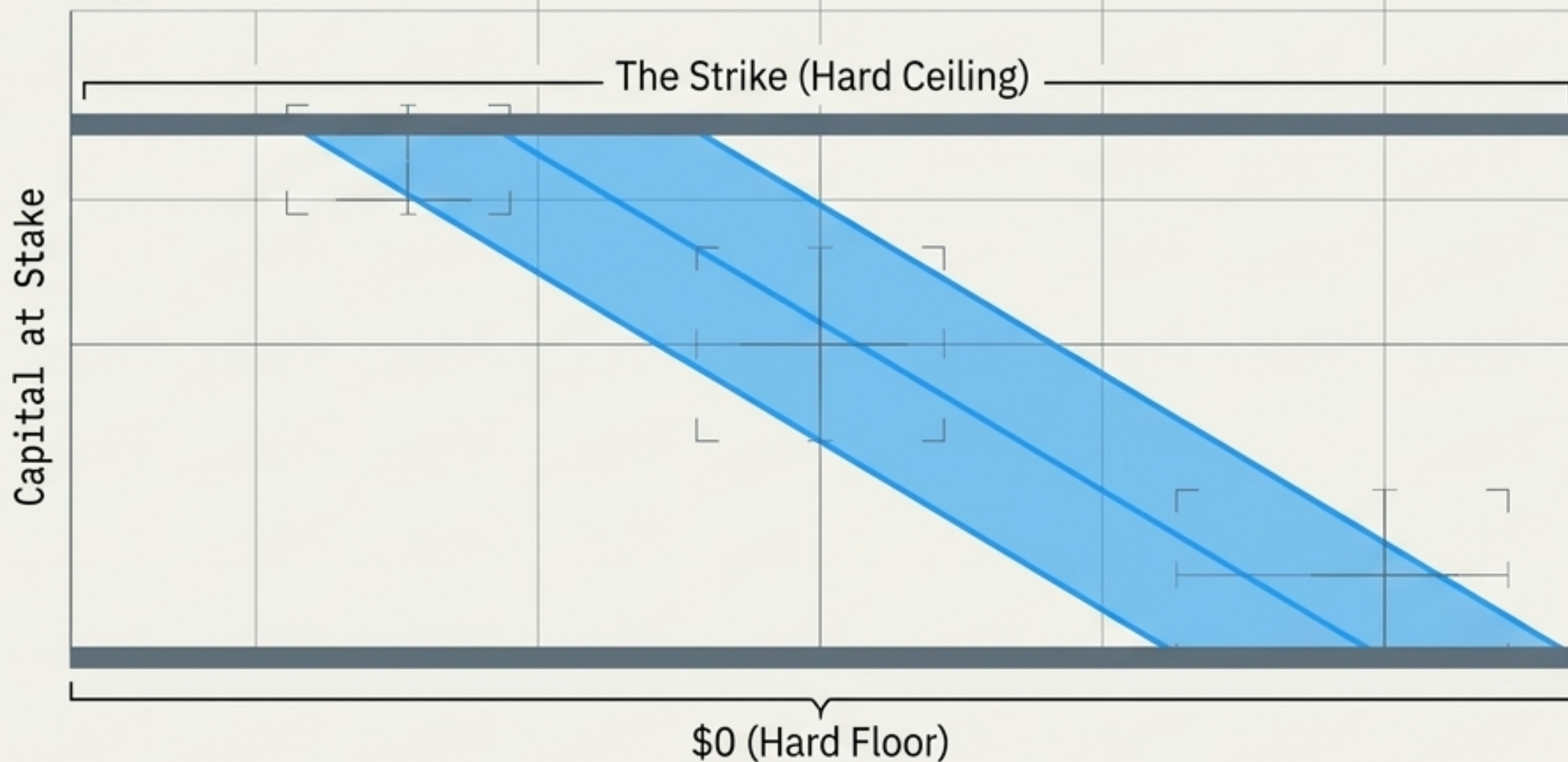
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The bounds of a Put.

$$\text{MIN}(\text{Strike}, \text{MAX}(0, 2 \times \text{Strike} - \text{Stock price}))$$

Logic Visualizer



The Translation

Never more than the full strike.

Never less than zero.

In Between

The strike minus the built-in gain.

The Rule

If the stock is below the strike, your capital at stake is the full strike.

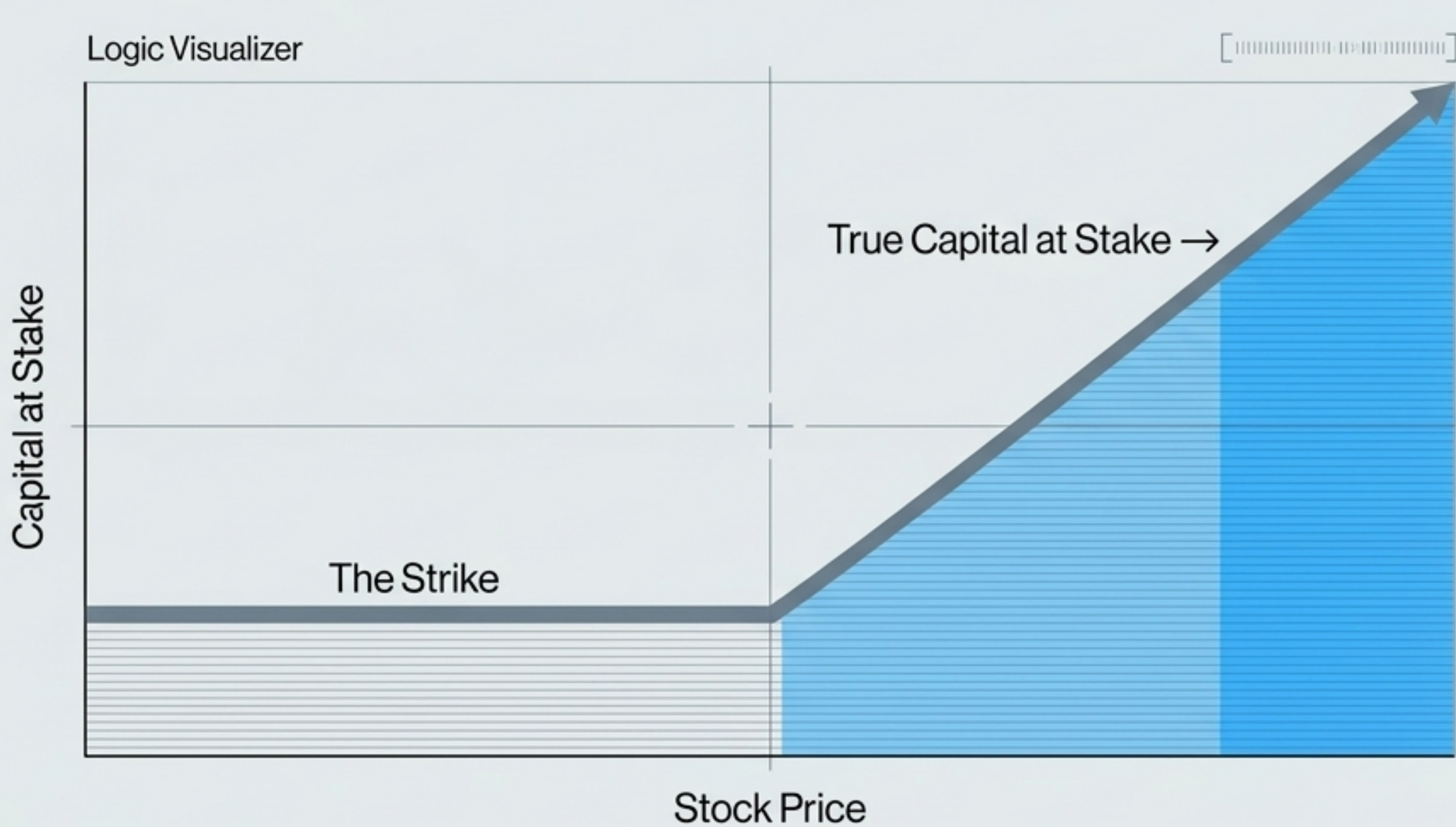
If above, the built-in gain reduces your exposure.

The bounds of a Call.

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$$[\text{MAX}(\text{Stock price}, \text{Strike})]$$



The Translation

Whichever is higher: the strike, or what the shares are worth today.

The Rule

If the stock is below the strike, your commitment is the strike.

If the stock runs past your strike, the shares you hand over are worth the market price—that is your true capital at stake.

Static assumptions vs. Dynamic reality.

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The Strike Method

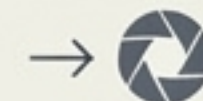


The Snapshot Method

Input Variables	Strike only	Strike + Current Stock Price
Adaptability	Fixed at T-Zero	Moves continuously with the market
Built-In Gains	Completely ignored	Dynamically factored into exposure
Accuracy	Only accurate at or below the strike	Always mathematically accurate

The Gap grows with distance.

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ORBD @ \$147.47

PUT SELLERS

CALL SELLERS

-\$42.47 (-40.45%)

+\$42.47 (+40.45%)

-\$2.47

+\$2.47

-\$0.47

+\$0.47

\$105

\$145

\$147

\$149

\$190

\$0 Gap (Strike Method is Accurate)

Takeaway: For put sellers, the better the position is doing, the more the old method overstates risk.
For call sellers, the further the stock runs, the more the old method understates risk.

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Same stock. Opposite error.

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The **strike price** is right only when the stock is at or below the strike.
Everywhere else, it lies in opposite directions.

		Market State	
		Stock Above Strike	Stock Below Strike
Asset Type	Puts	MASSIVE OVERSTATEMENT of Risk	Strike Method is Accurate
	Calls	MASSIVE UNDERSTATEMENT of Risk	Strike Method is Accurate

Defining the boundaries.

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Not Margin.

- ✓ Your broker still locks up \$10,500 cash for the \$105 put, even if exposure is \$6,253. This metric measures actual mathematical exposure, not collateral.

Not Max Loss.

- ✓ It measures what is on the line today. It does not predict how far the stock could fall tomorrow.

Not Cost Basis.

- ✓ If shares dropped 43% and premium cut your basis, neither number is what those shares are worth today. For covered calls, only today's market value matters.

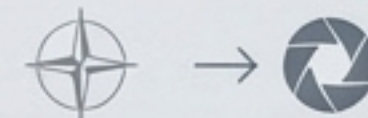
Not a Settlement Forecast.

- ✓ It computes a T-Zero instant. It ignores T+1 stock movement delays between assignment notices and actual clearing.

Why premium is left out.

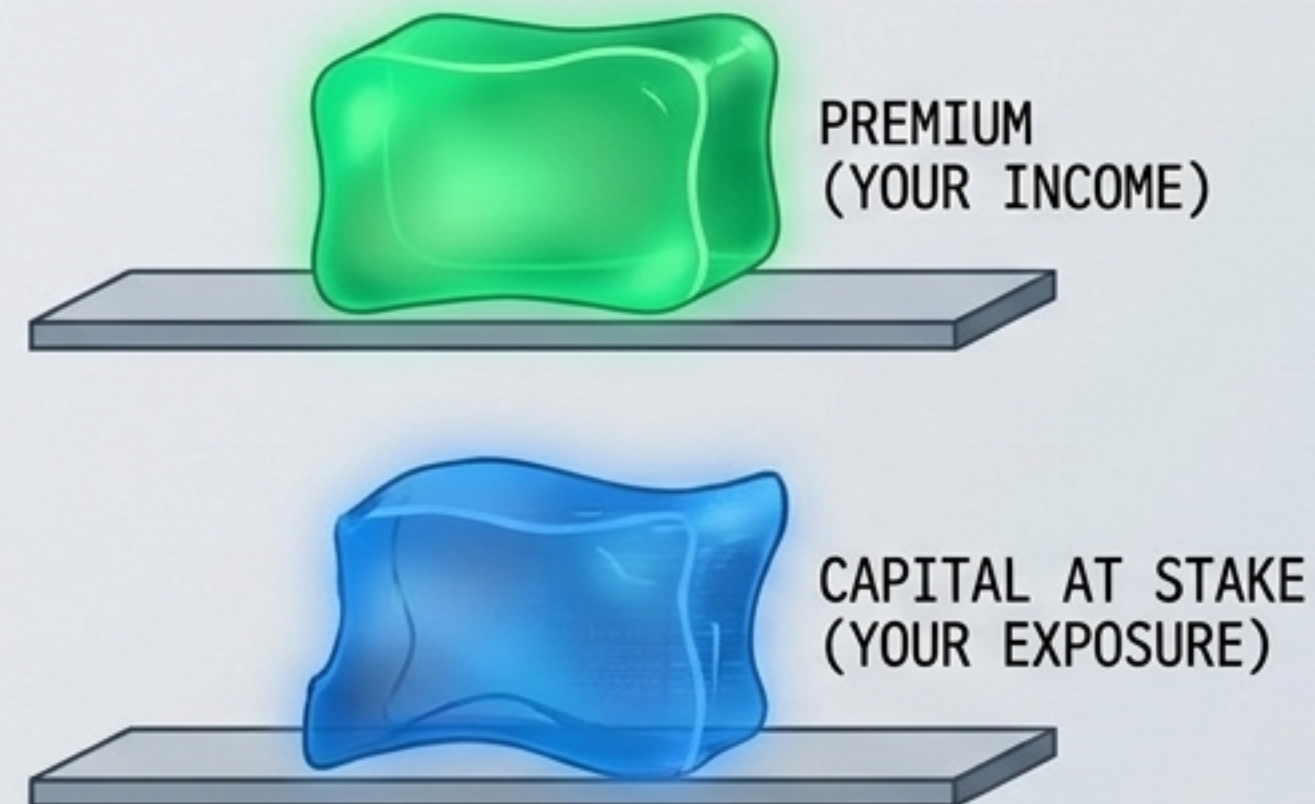
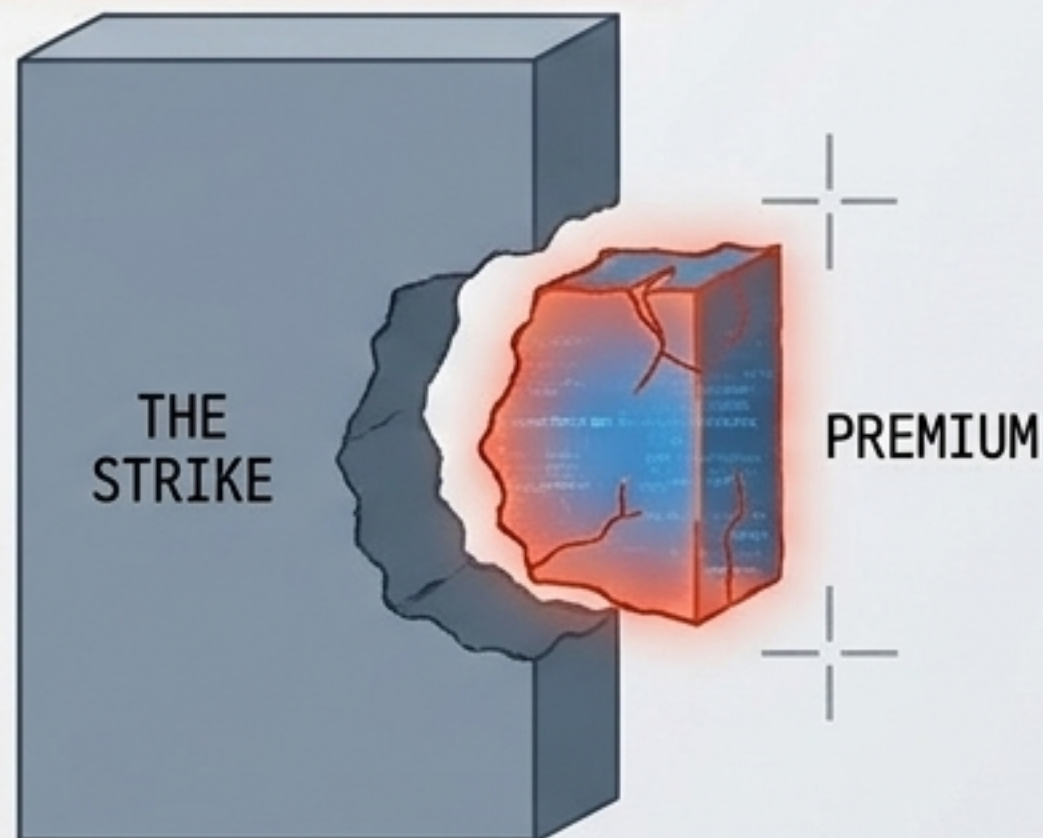
TERMINAL. - DATO LIST

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← STONG - THRIESHOLDS →

ERROR: DOUBLE COUNTING



The Flawed Calculation

Subtracting premium from capital counts it twice: once as income, again as reduced exposure. It answers “What is my break-even?”—not “What is my exposure?”

The Balanced Reality

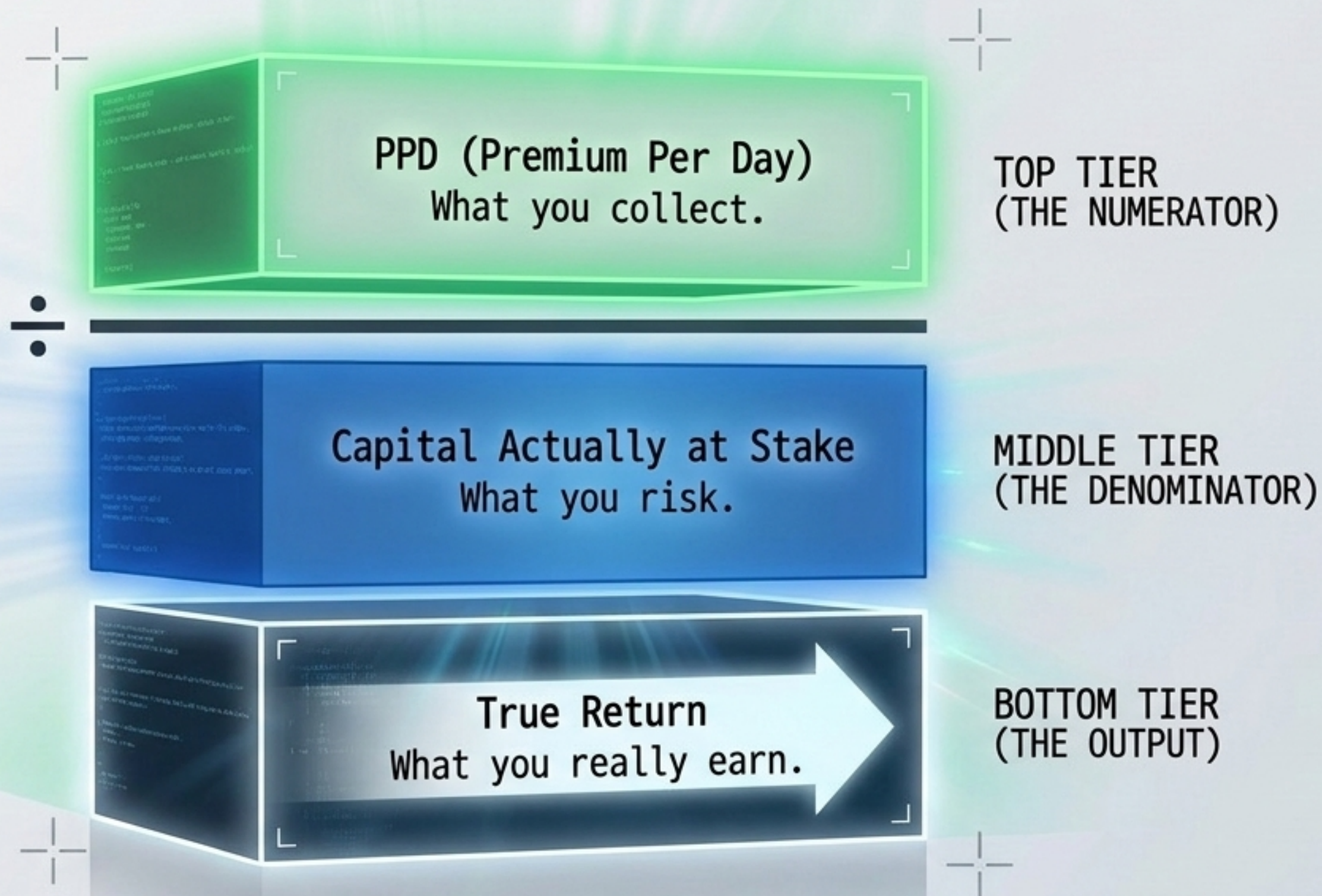
Premium is what you earn, not what you risk. Once collected, it is yours regardless of what the stock does. It belongs entirely separate from capital.



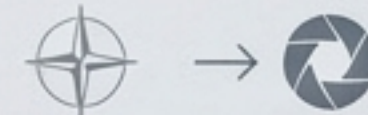
Completing the Stack.

Knowing your true capital at stake is the foundation. Measuring PPD against this true denominator reveals what you are really earning.

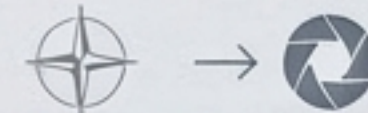
For some positions, fixing the denominator is a small tweak. For others, it completely flips which trade is better.



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Stop measuring today's risk with yesterday's assumptions.

The greatest edge any investor can have is not better information. It is better reasoning about the rules that actually govern their positions.

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framework at OTS Ullu.



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Droid (Pilot) - 000

